20. A production function measures the relation between

a. input prices and output prices

b. input prices and the quantity of output

c. the quantity of inputs and the quantity of output.

d. the quantity of inputs and input prices.

Part-A Answers

1	2	3	4	5	6	7	8	9	10
d	C	d	c	c	b	c	b	c	d
11	12	13	14	15	16	17	18	19	20
d	C	a	b	a	a	c	b	b	c

Part-B Answer the following questions in one or two sentences.

21. Classify the factors of production.

22. Define Labour.

23. State the production function.

24. Define Marginal Product of a factor.

25. What is Iso-cost line?

26. What are the conditions for producer's equilibrium?

27. What are the reasons for upward sloping supply curve?

Part-C Answer the following questions in one paragraph.

28. What are the characteristics of land?

29. What are the factors governing elasticity of supply?

30. What are the functions of Entrepreneur?

31. State and explain the elasticity of supply.

32. Bring out the Relationship among Total, Average and Marginal Products.

33. Illustrate the concept of Producer's Equilibrium.

34. State the Cobb-Douglas Production Function.

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